

given a good pension. I remember an occasion when a senior employee died. His widow was given the company flat, the children were educated and she was even given a job. Few professionally managed or multinationals would do this.

Mr. T. Thomas, a former Chairman of Hindustan Lever Ltd., describes the family business structure most eloquently in his memoir, *To Challenge and to Change*. He speaks of an Indian family business having a series of concentric circles emanating from a core — the core being made up of the founder and his brothers or sons. The next circle is the extended family of cousins and relatives followed by people from the same religious or caste group. The fourth circle comprises of people from the same language group and the outermost circle has people from the same region. Mr. Thomas says that to go beyond this was “like going out of orbit — unthinkably risky”.

There has been some change in the way family controlled businesses have been managed. In the beginning, these were often orthodox, autocratic, traditional, rigid and averse to change. This is no longer true. The sons and the grandsons of the founding fathers have been educated at the best business schools in India or abroad and they have been exposed to modern methods. Consequently, in many family managed companies, although the man at the helm is a scion of the family, his subordinates are graduates of business schools, i.e. professional managers. To an extent this combines the best of two worlds and many such businesses are very successful. The frustration for the professional manager in such companies is that he knows that he will never, ever run the company; that privilege will always be with a member of the family.